

Clean Grid Development Smart Contract Overview

Introduction

This overview summarizes the Clean Energy Infrastructure Smart Contract. It is designed to provide investors with a clear understanding of how capital is deployed into land and renewable energy assets, how payouts escalate as generation and contracting milestones are achieved, and how company rights and operating assumptions are managed. While not a substitute for the full legal contract, it ensures transparency and eliminates ambiguity.

Investment Framework

Investor capital is pooled to fund the acquisition, development, and commissioning of clean energy generation sites dedicated to powering major developments with a focus on AI infrastructure.

- **Land acquisition:** Strategic parcels are secured for renewable energy projects (solar, wind, hydro, or hybrid).
- **Energy generation assets:** Facilities are constructed and commissioned in phases to meet capacity targets.
- **AI infrastructure alignment:** Energy output is contracted or allocated to data centers, cloud campuses, and AI-driven developments.
- **Holding horizon:** A fixed 3-year return timeline governs the payout schedule, with interim distributions escalating as milestones are met.

Payout Mechanics

Distributions are tied to measurable generation and capacity milestones, ensuring payouts increase as project performance improves. The following example illustrates how payouts escalate as clean energy capacity is deployed and contracted:

1. **Phase I — Initial commissioning**
 - o **Trigger:** 25% of planned generation capacity online and contracted to AI infrastructure users
 - o **Payout rate:** Baseline distribution (e.g., 15% of distributable cash)
2. **Phase II — Mid deployment**
 - o **Trigger:** 50% of generation capacity online and contracted
 - o **Payout rate:** Increased distribution (e.g., 35%)
3. **Phase III — Grid integration**
 - o **Trigger:** 75% of generation capacity integrated with grid and AI infrastructure demand centers
 - o **Payout rate:** Further increase (e.g., 55%)
4. **Phase IV — Full deployment**
 - o **Trigger:** 90–100% of generation capacity stabilized and contracted
 - o **Payout rate:** Maximum distribution (e.g., 70%), plus catch-up to align with the 3-year return timeline

Company Rights and Operating Assumptions

Right to Distribute and Use Cash The company retains the right to allocate and distribute cash flows in accordance with the smart contract waterfall. This includes:

- Funding operating reserves and contingencies prior to investor distributions.
- Covering debt service, taxes, insurance, and regulatory obligations.
- Applying cash toward approved capital expenditures, technology upgrades, and grid interconnection costs.
- Adjusting interim distributions to preserve liquidity for upcoming phases or milestones.

Operating Cost Assumptions Operating costs are assumed and deducted prior to investor distributions. These include:

- Site management fees and administrative expenses.
- Utilities, maintenance, and repairs of energy assets.
- Marketing and contracting costs for AI infrastructure partnerships.
- Professional services (legal, accounting, compliance, environmental).
- Insurance premiums and property taxes.

Reserve Policy The company may establish reserves for:

- Future operating expenses.
- Capacity upgrades and technology improvements.
- Debt service coverage and lender requirements.
- Unexpected delays or overruns in project phases.

Transparency and Reporting

- All uses of cash are reported to investors through periodic updates.
- Reserve balances, operating costs, and distribution adjustments are disclosed.
- Any deviation from standard assumptions requires disclosure and, where applicable, investor approval through governance mechanisms.

Investor Rights

Investors are entitled to:

- Distributions proportional to deposits, escalating with milestone completion.
- Trade investment tokens representing their share, with entitlements tied to milestone snapshots.
- Access transparent reporting on generation capacity, contracting progress, reserves, and payout calculations.

Company Obligations

The company is obligated to:

- Verify generation and contracting milestones through independent reporting or oracle feeds.
- Provide transparent updates on capacity deployment, operating costs, and cash flow.
- Ensure distributions escalate according to the defined schedule.
- Execute final reconciliation at stabilization or exit to meet the 3-year return timeline.

Conclusion

This contract overview clarifies how clean energy infrastructure payouts are structured around generation and contracting milestones. By linking distributions to capacity deployment and AI infrastructure demand, and by defining company rights and operating assumptions, the contract provides investors with early cash flow, increasing returns over time, and a final reconciliation at stabilization or exit.